Package 'DegradSim'

October 27, 2026

Title Simulation of Lévy and Non-Homogeneous Lévy Degradation Processes

Version 0.0.0.9000

Description Exact simulation, at given inspection times, of one or several degradation trajectories of Lévy processes (gamma, Wiener, inverse Gaussian, variance-gamma, Meixner, normal inverse Gaussian and compound Poisson processes) and of non-homogeneous Lévy processes obtained by a time change X_t = Y_{A(t)} of a gamma, Wiener or inverse Gaussian process (Kahle, Mercier and Paroissin, 2016, ISBN:978-1-84821-888-8; Cha and Mercier, 2019, <doi:10.1017/apr.2019.21>); inspection times with a chosen pattern, plotting of the trajectories and extraction of the simulated data.

License GPL-3

URL https://github.com/rytracetito/levy_packages/tree/main/DegradSim, https://github.com/rytracetito/levy_packages

BugReports https://github.com/rytracetito/levy_packages/issues

Encoding UTF-8

Roxygen list(markdown = TRUE)

RoxygenNote 7.3.3

Imports ggplot2, Runuran, stats, utils

Suggests testthat (>= 3.0.0)

Config/testthat/edition 3

Author Amedée Rytrace Tito [aut, cre], Christian Paroissin [aut]

Maintainer Amedée Rytrace Tito <rytracetito5@gmail.com>

Contents

DegradSim-package 2
inspection_times 7
plot_plan 9
plot_traj 10
sim_cpoisson 11
sim_gamma 14

sim_ig 17
sim_meixner 20
sim_nig 22
sim_vg 25
sim_wiener 28
traj_df 31

Index **33**

`DegradSim-package` *DegradSim: simulation of Lévy and non-homogeneous Lévy degradation processes*

Description

`DegradSim` simulates exactly, at given inspection times, one or several degradation trajectories of two families of processes:

1. **Lévy processes** (homogeneous case): gamma, Wiener, inverse Gaussian, variance-gamma, Meixner, normal inverse Gaussian and compound Poisson processes;
2. **non-homogeneous Lévy processes** obtained by a time change $X_t = Y_{A(t)}$ of a Lévy process Y: gamma, Wiener and inverse Gaussian processes.

Details

The inspection times can be irregular and differ from one trajectory to another; `inspection_times()` builds them with a chosen pattern. The simulated trajectories can be printed, plotted and extracted as a data frame.

Lévy processes

Definition (Sato, 2001, p. 3). A real stochastic process $(X_t)_{t\geq 0}$ is a Lévy process if

1. it has independent increments: for all $n \geq 1$ and $0 \leq t_0 < t_1 < \cdots < t_n$, the random variables $X_{t_0}, X_{t_1} - X_{t_0}, \ldots, X_{t_n} - X_{t_{n-1}}$ are independent;
2. it starts at the origin: $X_0 = 0$ almost surely;
3. it is time homogeneous: the distribution of $(X_{s+t} - X_s)_{t\geq 0}$ does not depend on s;
4. it is stochastically continuous: for all $\varepsilon > 0$, $P(|X_{s+t} - X_s| > \varepsilon) \to 0$ as $t \to 0$;
5. its trajectories $t \mapsto X_t$ are right-continuous with left limits (càdlàg), almost surely.

Infinitely divisible distribution (Sato, 2001, p. 4). A distribution μ on $\mathbb{R}$ is infinitely divisible if, for every integer $n \geq 1$, there is a distribution μ_n such that $\mu = \mu_n^{n*}$, the n-fold convolution of μ_n: a random variable with distribution μ has the distribution of the sum of n independent random variables with distribution μ_n. For a Lévy process, the distribution of X_t is infinitely divisible for every t; conversely, every infinitely divisible distribution is the distribution of X_1 for a Lévy process, unique in law (Sato, 2001, Theorems 1.1 and 1.2). The gamma, normal, inverse Gaussian, variance-gamma, Meixner, normal inverse Gaussian and compound Poisson distributions are infinitely divisible.

The simulation functions, with the distribution of an increment over a time $\Delta t = t - s$:

Function	Process	Parameters	$X_t - X_s$

`sim_gamma()`	gamma	`a`, `b`	$\Gamma(a\Delta t, b)$, rate b
`sim_wiener()`	Wiener with drift	`mu`, `sigma`	$\mathcal{N}(\mu\Delta t, \sigma^2\Delta t)$
`sim_ig()`	inverse Gaussian	`mu`, `eta`	$IG(\mu\Delta t, \eta\Delta t^2)$
`sim_vg()`	variance-gamma	`theta`, `sigma`, `nu`	$VG(\theta, \sigma, \nu)$ over Δt
`sim_meixner()`	Meixner	`a`, `b`, `d`, `m`	$Meixner(a, b, d\Delta t, m\Delta t)$
`sim_nig()`	normal inverse Gaussian	`alpha`, `beta`, `delta`, `mu`	$NIG(\alpha, \beta, \delta\Delta t, \mu\Delta t)$
`sim_cpoisson()`	compound Poisson	`lambda`, `rjump`	sum of $Poisson(\lambda\Delta t)$ jumps

Other Lévy processes

There are other Lévy processes. `DegradSim` does not simulate them, except the Poisson process, given by `sim_cpoisson()` with jumps equal to 1:

- the **Poisson process**, increments $Poisson(\lambda\Delta t)$ (Hoyle, 2010, section 2.11);
- the **Cauchy process**, increments $Cauchy(0, \gamma\Delta t)$, of infinite mean (Hoyle, 2010, section 2.9);
- the **α-stable processes**, of infinite variance for $\alpha < 2$; for $\alpha < 1$, the stable subordinator is increasing (Samorodnitsky and Taqqu, 1994; exact simulation by Chambers, Mallows and Stuck, 1976);
- the **generalized hyperbolic (GH) processes**, whose distribution at time 1 is generalized hyperbolic (Barndorff-Nielsen, 1977); the NIG and the variance-gamma processes are special or limiting cases;
- the **tempered stable processes**, stable processes whose large jumps are tempered by an exponential factor (Koponen, 1995; Rosiński, 2007); the gamma and inverse Gaussian processes are tempered stable subordinators;
- the **Lévy jump-diffusion processes**, a Brownian motion with drift plus a compound Poisson process, with normal jumps (Merton, 1976) or double exponential jumps (Kou, 2002);
- the **CGMY process** (Carr, Geman, Madan and Yor, 2002), a tempered stable process that contains the variance-gamma process as a special case.

Non-homogeneous Lévy processes

Time change. Let $A : [0, +\infty[\to [0, +\infty[$ be a non-decreasing function, right-continuous with left limits, with $A(0) = 0$ and $A(t) \to +\infty$ as $t \to +\infty$, and let Y be a homogeneous Lévy process. The process

$$X_t = Y_{A(t)}, \qquad t \geq 0,$$

is a non-homogeneous Lévy process (Kahle et al., 2016, p. xix-xx; Cha and Mercier, 2019, section 2): $X_0 = 0$, its increments are independent and $X_t - X_s$ has the distribution of $Y_{A(t)-A(s)}$. Its increments are not stationary when A is not linear. When A is continuous, X is also stochastically continuous: it is an additive process in the sense of Sato (2001, p. 3), that is a process satisfying the conditions 1, 2, 4 and 5 above.

The time change in the package. A is given as the argument `A` of `sim_gamma()`, `sim_wiener()` and `sim_ig()`, a vectorized R function of `t` (`A(t)` returns one value per time), for instance `function(t) 2 * t^1.5`. Each of these functions checks that $A(0) = 0$ and that A is finite and non-decreasing at the inspection times, and raises an error otherwise. The conditions "right-continuous with left limits" and $A(t) \to +\infty$ cannot be checked on a finite set of times: they are left to the user. If A is constant between two inspection times, the increment of X is 0.

Identifiability. One parameter of Y (a for the gamma process, μ for the Wiener and inverse Gaussian processes) is set to 1 and contained in A. With $\Delta A = A(t) - A(s)$:

Function	Parameters	$X_t - X_s$
`sim_gamma()`	`b`, `A`	$\Gamma(\Delta A, b)$
`sim_wiener()`	`sigma`, `A`	$\mathcal{N}(\Delta A, \sigma^2 \Delta A)$
`sim_ig()`	`eta`, `A`	$IG(\Delta A, \eta \Delta A^2)$

The time-scaled Wiener process is $X_t = A(t) + \sigma B_{A(t)}$, with B a standard Brownian motion. The homogeneous case is $A(t) = at$ for the gamma process, and $A(t) = \mu t$ for the Wiener and inverse Gaussian processes, with $\sigma/\sqrt{\mu}$ instead of σ and η/μ^2 instead of η.

Getting started

A simulation always follows the same three steps.

1. **Choose the inspection times** `t`. Three forms are accepted by every `sim_` function:
   - a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is given by `n_traj`;
   - a list of numeric vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`;
   - the result of `inspection_times()`, for instance with the pattern `"increasing"` for trajectories inspected more and more often.

   The times of each trajectory must be finite, start at 0 and be strictly increasing, with at least two times (0 and one inspection). These conditions are checked by every `sim_` function, also for the result of `inspection_times()`, and an error explains which condition fails.
2. **Simulate** with the function of the chosen process and its parameters, for instance `sim_gamma(t, a = 2, b = 3)` for a homogeneous gamma process. For a non-homogeneous process, give the time change `A` (see the section Non-homogeneous Lévy processes) instead of the fixed parameter, for instance `sim_gamma(t, b = 3, A = function(t) 2 * t^1.5)`.
3. **Store and use the result** `x`, an object of class `DegradSim`. Its form depends on the times:
   - same times for all the trajectories: a matrix with the column `t` and one column per trajectory, `X1`, ..., `Xn`; the levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
   - different times: a list with one data frame (`t`, `X`) per trajectory; the k-th trajectory is `x[[k]]`, with times `x[[k]]$t` (or `x[[k]][, 1]`) and levels `x[[k]]$X` (or `x[[k]][, 2]`).

   In both cases, `x` prints the model, the parameters, the time change if any and the first simulated values; `traj_df(x)` gives all the data in one data frame (`id`, `t`, `X`, and `dt`, `dX` with `increments = TRUE`) and `plot_traj(x)` plots the trajectories.

Use `set.seed()` before a simulation to make it reproducible.

Other functions:

- `inspection_times()`: inspection times following a chosen pattern (regular, increasing, decreasing, or alternating between frequent and rare inspections);
- `plot_plan()`: plot of the inspection times, one row per trajectory (`ggplot2`);
- `plot_traj()`: plot of the simulated trajectories (`ggplot2`);
- `traj_df()`: simulated data as a data frame.

Exact simulation at the inspection times (random walk approximation)

All the simulated processes have independent increments with known distributions. The values at the inspection times $0 = t_0 < t_1 < \cdots < t_n$ are therefore simulated by the random walk approximation (RWA) of Kahle et al. (2016, algorithms 1.7 and 2.32): independent increments ΔX_i with the distribution of $X_{t_i} - X_{t_{i-1}}$ are drawn, then $X_{t_0} = 0$ and $X_{t_i} = \Delta X_1 + \cdots + \Delta X_i$. The vector $(X_{t_1}, \ldots, X_{t_n})$ has exactly the distribution of the process at the inspection times; the name "approximation" refers only to the path between two inspection times, which is not simulated. Algorithm 2.32 is written for the gamma process, but the same scheme applies to every process with independent increments. The way each increment is drawn is given in the help page of each simulation function.

Author(s)

Maintainer: Amedée Rytrace Tito <rytracetito5@gmail.com>

Authors:

- Christian Paroissin <christian.paroissin@univ-pau.fr>

References

Lévy processes and time change

Sato, K. (2001). Basic results on Lévy processes. In O. E. Barndorff-Nielsen, T. Mikosch and S. I. Resnick (eds.), *Lévy Processes: Theory and Applications*, 3-37. Birkhäuser, Boston. doi:10.1007/9781461201977

Kahle, W., Mercier, S. and Paroissin, C. (2016). *Degradation Processes in Reliability*. ISTE and Wiley, London. ISBN 978-1-84821-888-8.

Cha, J. H. and Mercier, S. (2019). Transformed Lévy processes as state-dependent wear models. *Advances in Applied Probability*, 51(2), 468-486. doi:10.1017/apr.2019.21

Processes

Gamma process: van Noortwijk, J. M. (2009). A survey of the application of gamma processes in maintenance. *Reliability Engineering & System Safety*, 94(1), 2-21. doi:10.1016/j.ress.2007.03.019

Wiener process: Whitmore, G. A. (1995). Estimating degradation by a Wiener diffusion process subject to measurement error. *Lifetime Data Analysis*, 1, 307-319.

Inverse Gaussian process: Wang, X. and Xu, D. (2010). An inverse Gaussian process model for degradation data. *Technometrics*, 52(2), 188-197. doi:10.1198/TECH.2009.08197

Variance-gamma process: Madan, D. B., Carr, P. P. and Chang, E. C. (1998). The variance gamma process and option pricing. *European Finance Review*, 2(1), 79-105. doi:10.1023/A:1009703431535

Meixner process: Schoutens, W. and Teugels, J. L. (1998). Lévy processes, polynomials and martingales. *Communications in Statistics. Stochastic Models*, 14(1-2), 335-349.

Normal inverse Gaussian process: Barndorff-Nielsen, O. E. (1997). Normal inverse Gaussian distributions and stochastic volatility modelling. *Scandinavian Journal of Statistics*, 24(1), 1-13. doi:10.1111/14679469.00045

Compound Poisson process: Kahle et al. (2016), chapter 3, above.

Hoyle, A. E. V. (2010). *Information-Based Models for Finance and Insurance*. PhD thesis, Imperial College London. arXiv:1010.0829.

Other Lévy processes

Barndorff-Nielsen, O. E. (1977). Exponentially decreasing distributions for the logarithm of particle size. *Proceedings of the Royal Society of London. Series A*, 353, 401-419.

Carr, P., Geman, H., Madan, D. B. and Yor, M. (2002). The fine structure of asset returns: an empirical investigation. *The Journal of Business*, 75(2), 305-332. doi:10.1086/338705

Chambers, J. M., Mallows, C. L. and Stuck, B. W. (1976). A method for simulating stable random variables. *Journal of the American Statistical Association*, 71(354), 340-344.

Koponen, I. (1995). Analytic approach to the problem of convergence of truncated Lévy flights towards the Gaussian stochastic process. *Physical Review E*, 52, 1197-1199.

Kou, S. G. (2002). A jump-diffusion model for option pricing. *Management Science*, 48(8), 1086-1101. doi:10.1287/mnsc.48.8.1086.166

Merton, R. C. (1976). Option pricing when underlying stock returns are discontinuous. *Journal of Financial Economics*, 3(1-2), 125-144. doi:10.1016/0304405X(76)900222

Rosiński, J. (2007). Tempering stable processes. *Stochastic Processes and their Applications*, 117(6), 677-707.

Samorodnitsky, G. and Taqqu, M. S. (1994). *Stable Non-Gaussian Random Processes*. Chapman and Hall, New York.

Simulation methods

Michael, J. R., Schucany, W. R. and Haas, R. W. (1976). Generating random variates using transformations with multiple roots. *The American Statistician*, 30(2), 88-90. doi:10.1080/00031305.1976.10479147

Hörmann, W. and Leydold, J. (2003). Continuous random variate generation by fast numerical inversion. *ACM Transactions on Modeling and Computer Simulation*, 13(4), 347-362. doi:10.1145/945511.945517

See Also

Useful links:

- https://github.com/rytracetito/levy_packages/tree/main/DegradSim
- https://github.com/rytracetito/levy_packages
- Report bugs at https://github.com/rytracetito/levy_packages/issues

Examples

```
# 1. Inspection times: 10 trajectories, inspected more and more often
plan <- inspection_times("increasing", n = 20, n_traj = 10, tmax = 100)
plot_plan(plan)

# 2. Simulation of a homogeneous gamma process (a Lévy process)
set.seed(1)
x <- sim_gamma(plan, a = 0.2, b = 1)

# 3. Use of the result: the same times for all the trajectories give a
#    matrix (column t, then X1, ..., X10)
x
x[, "X1"]
head(traj_df(x, increments = TRUE))
plot_traj(x)

# 4. Non-homogeneous gamma process with the time change A(t) = 0.02 t^1.5
y <- sim_gamma(plan, b = 1, A = function(t) 0.02 * t^1.5)
y
plot_traj(y, "Non-homogeneous gamma process")

# 5. Different inspection times: a list of data frames (t, X)
```

```
z <- sim_wiener(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), mu = 0.5, sigma = 1.5)
z[[2]]
z[[2]]$X
```

`inspection_times` *Inspection times following a chosen pattern*

Description

Generates inspection times on $[0, t_{max}]$ for one or several trajectories, with gaps between two successive inspections that are constant, increasing, decreasing, or that vary between the beginning, the middle and the end of the period. The result can be given directly to the simulation functions, such as `sim_gamma()`, and plotted with `plot_plan()`.

Usage

```
inspection_times(
  pattern = "regular",
  n = 10,
  n_traj = 1,
  tmax = 100,
  digits = NULL,
  a = 0.5
)
```

Arguments

`pattern`	Name of the pattern, `"regular"` (default), `"increasing"`, `"decreasing"`, `"inc-dec"` or `"dec-inc"` (see Details), or a strictly increasing R function on $[0, 10]$.
`n`	Number of inspections after time 0, a positive integer. A single value gives the same number of inspections to all the trajectories; a vector of length `n_traj` gives one number per trajectory.
`n_traj`	Number of trajectories, a positive integer.
`tmax`	Time of the last inspection, $t_{max} > 0$. A single value gives the same last time to all the trajectories; a vector of length `n_traj` gives one value per trajectory.
`digits`	Number of decimal places of the times, a non-negative integer, or `NULL` (default) for no rounding. Times made equal by the rounding are removed, with a warning (see Details).
`a`	Amplitude of the patterns `"inc-dec"` and `"dec-inc"`, in $[0, 1[$: it sets the contrast between frequent and rare inspections, from 0 (regular inspections) to 1 excluded; default 0.5. Not used by the other patterns.

Details

Construction. The times are the values of a strictly increasing function f on the regular grid $x_i = i\, x_{max}/n$, $i = 0, \ldots, n$, of $[0, x_{max}]$ with $x_{max} = 10$, rescaled to $[0, t_{max}]$:

$$t_i = t_{max} \frac{f(x_i) - f(0)}{f(x_{max}) - f(0)}, \qquad i = 0, \ldots, n.$$

So $t_0 = 0$, $t_n = t_{max}$, and the gap between two successive inspections is about proportional to the slope $f'(x_i)$: the inspections are frequent where f is flat and rare where f is steep.

Why the interval $[0, 10]$**.** The rescaling removes the scale of the values of f, but not the scale of x: for a non-linear f, the length of the interval sets the contrast between the smallest and the largest gap. For $f(x) = \ln(x + 1)$, the ratio of the first gap to the last one is about $f'(0)/f'(x_{max}) = x_{max} + 1$: 2 on $[0, 1]$ (almost regular inspections), 11 on $[0, 10]$ and 101 on $[0, 100]$ (almost all the inspections at one end). The value $x_{max} = 10$ gives a clear but moderate contrast. It is fixed, and a function given as `pattern` is also evaluated on $[0, 10]$.

Patterns.

- `"regular"`: $f(x) = x$, constant gaps t_{max}/n;
- `"increasing"`: $f(x) = \ln(x + 1)$, decreasing gaps: inspections rare at the beginning and more and more frequent;
- `"decreasing"`: $f(x) = -\ln(x_{max} + 1 - x)$, increasing gaps: inspections frequent at the beginning and rarer and rarer, mirror image of `"increasing"`;
- `"inc-dec"`: $f(x) = x + a\,\frac{x_{max}}{2\pi}\sin(2\pi x/x_{max})$, gaps that decrease then increase: inspections rare at the beginning, frequent in the middle, rare at the end;
- `"dec-inc"`: $f(x) = x - a\,\frac{x_{max}}{2\pi}\sin(2\pi x/x_{max})$, gaps that increase then decrease: inspections frequent at the beginning, rare in the middle, frequent at the end.

The names describe the number of inspections per unit of time: `"increasing"` means more and more inspections, `"inc-dec"` more, then fewer inspections.

Amplitude `a` **of** `"inc-dec"` **and** `"dec-inc"`**.** Here $f'(x) = 1 \pm a\cos(2\pi x/x_{max})$: the gaps vary between $1 - a$ and $1 + a$ times the mean gap t_{max}/n, so that the largest gap is $(1 + a)/(1 - a)$ times the smallest one. With the default $a = 0.5$, this ratio is 3 and the gaps change progressively; with $a = 0.8$, it is 9 and the frequent inspections gather in a short time; $a = 0$ gives regular inspections.

Rounding. With `digits`, the times are rounded to `digits` decimal places. If the rounding makes two successive times equal, the repeated times are removed, so that the trajectory has fewer than `n` inspections after time 0, and a warning gives the number of inspections that are kept.

Other patterns. Any strictly increasing R function on $[0, 10]$ can be given as `pattern`, for instance `sqrt`; an error is raised if it is not strictly increasing on the grid.

Value

A data frame with one row per inspection and two columns: `id` (number of the trajectory, 1 to `n_traj`) and `time` (inspection time). Each trajectory starts at time 0 and ends at its `tmax`, with strictly increasing times. The times of the trajectory k are `plan$time[plan$id == k]`.

See Also

`plot_plan()` to plot the inspection times, `sim_gamma()` and the other simulation functions, which accept the result as inspection times.

Examples

```
# 1. Regular inspections: 10 inspections after time 0, up to 100
inspection_times("regular", n = 10, tmax = 100)

# 2. More and more frequent inspections, times rounded to integers
inspection_times("increasing", n = 10, digits = 0)

# 3. Fewer and fewer inspections
```

```
inspection_times("decreasing", n = 10, digits = 0)

# 4. Rare at the beginning, frequent in the middle, rare at the end
inspection_times("inc-dec", n = 20, digits = 1)

# 5. Frequent at the beginning and at the end, rare in the middle
inspection_times("dec-inc", n = 20, digits = 1)

# 6. Stronger contrast between frequent and rare inspections
inspection_times("dec-inc", n = 20, digits = 1, a = 0.8)

# Gaps between inspections: from about 2.5 to 7.5 with the default amplitude
range(diff(inspection_times("dec-inc", n = 20)$time))

# 7. Three trajectories with 10, 15 and 20 inspections, up to 50, 100 and 150
plan <- inspection_times("increasing", n = c(10, 15, 20), n_traj = 3,
                         tmax = c(50, 100, 150), digits = 1)
plan

# Times of the second trajectory only
plan$time[plan$id == 2]

# 8. Same number of inspections and same tmax: the same times for the
#    three trajectories
inspection_times("increasing", n = 5, n_traj = 3, tmax = 10)

# 9. Rounding too strong: the repeated times are removed with a warning
inspection_times("decreasing", n = 30, tmax = 20, digits = 0)

# 10. Any strictly increasing function on [0, 10]: with sqrt, the
#     inspections are rare at the beginning and more and more frequent
inspection_times(sqrt, n = 10, digits = 0)

# 11. Mixture of the increasing and decreasing patterns: frequent
#     inspections around a point that moves to the right when w increases
#     (0 < w < 1)
w <- 0.8
inspection_times(function(x) w * log(x + 1) - (1 - w) * log(11 - x), n = 20, digits = 1)

# 12. Plot the inspection times, one row per trajectory, then simulate
plan <- inspection_times("dec-inc", n = c(10, 20, 30), n_traj = 3, tmax = 100)
plot_plan(plan)
x <- sim_gamma(plan, a = 0.2, b = 1)
plot_traj(x)
```

`plot_plan` *Plot inspection times*

Description

Draws the inspection times of one or several trajectories with `ggplot2`: one point per inspection, and one row per trajectory when there are several. It shows at a glance where the inspections are frequent and where they are rare.

Usage

```
plot_plan(t, title = "Inspection times")
```

Arguments

t	Inspection times, in one of the three forms accepted by the sim_ functions: • a numeric vector, for one trajectory, for instance seq(0, 10, by = 0.5); • a list of numeric vectors, one per trajectory, for instance list(c(0, 1, 3), c(0, 2, 4, 6)); • the result of inspection_times(), one plan per trajectory. The times of each trajectory start at 0 and are strictly increasing.
title	Title of the plot, a character string; by default "Inspection times".

Value

A ggplot object. It is displayed when printed, and it can be modified with the usual ggplot2 functions, added with +: for instance + ggplot2::labs(x = "Time (hours)") to change the axis label.

See Also

inspection_times(), plot_traj()

Examples

```
# One trajectory inspected every 0.5 time unit
plot_plan(seq(0, 10, by = 0.5))

# Inspections more and more frequent over time, with a custom title
t <- inspection_times("increasing", n = 30, tmax = 100)
plot_plan(t, "Increasing number of inspections")

# Five trajectories, each with its own times: one row per trajectory
plan <- inspection_times("dec-inc", n = c(10, 15, 20, 25, 30), n_traj = 5, tmax = 100)
plot_plan(plan)

# Different inspection times given as a list
plot_plan(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)))

# Change the axis label
plot_plan(t) + ggplot2::labs(x = "Time (hours)")
```

---

plot_traj *Plot simulated trajectories*

Description

Draws the trajectories simulated by a sim_ function with ggplot2: one grey line per trajectory, with a point at each inspection.

Usage

```
plot_traj(x, title = NULL)
```

Arguments

x	Result of a simulation function of the package, for instance sim_gamma().
title	Title of the plot, a character string; by default the name of the process, for instance "gamma process".

Value

A ggplot object. It is displayed when printed, and it can be modified with the usual ggplot2 functions, added with +: for instance + ggplot2::geom_hline(yintercept = 10) to draw a failure threshold, or + ggplot2::labs(x = "Time (hours)") to change an axis label.

See Also

traj_df()

Examples

```
set.seed(1)
x <- sim_wiener(seq(0, 10, by = 0.5), mu = 0.5, sigma = 1.5, n_traj = 5)
plot_traj(x)

# Custom title
plot_traj(x, "Five trajectories of a Wiener process")

# Add a failure threshold and change the axis labels
plot_traj(x) +
  ggplot2::geom_hline(yintercept = 5, linetype = "dashed", colour = "red") +
  ggplot2::labs(x = "Time (hours)", y = "Degradation (%)")
```

---

sim_cpoisson *Simulation of the compound Poisson process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous compound Poisson process, a Lévy process: a shock model where each shock adds a random amount of degradation.

Usage

```
sim_cpoisson(t, lambda, rjump = function(n) stats::rexp(n, 1), n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted: • a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`; • a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored); • the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).
`lambda`	Intensity of the shocks, $\lambda > 0$: mean number of shocks per unit of time.
`rjump`	Distribution of the jumps: an R function of `n` that returns `n` independent jumps, for instance `function(n) rgamma(n, 2, 3)`. The default `function(n) rexp(n, 1)` gives exponential jumps of mean 1, and `function(n) rep(1, n)` gives the Poisson process.
`n_traj`	Number of trajectories to simulate when `t` is a vector (default 1), a positive integer.

Value

An object of class `DegradSim`, whose form depends on the inspection times:

- **same times for all the trajectories** (`t` a vector, or a plan of `inspection_times()` with the same times for all the trajectories): a matrix with columns `t` (inspection times), `X1`, ..., `Xn` (simulated degradation levels of the trajectories 1 to n, equal to 0 at `t = 0`). The levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
- **different times** (`t` a list, or a plan of `inspection_times()` with different times): a list with one data frame per trajectory, with columns `t` and `X`. The k-th trajectory is the data frame `x[[k]]`, its times are `x[[k]]$t` (or `x[[k]][, 1]`) and its levels `x[[k]]$X` (or `x[[k]][, 2]`).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use `traj_df()` to gather the data in a single data frame (with the increments if needed) and `plot_traj()` to plot the trajectories.

Model

Let N be a Poisson process with intensity $\lambda > 0$ (the times of the shocks) and $J_1, J_2, \ldots$ independent random variables with the same distribution, independent of N (the sizes of the shocks). The compound Poisson process is

$$X_t = \sum_{k=1}^{N_t} J_k, \qquad t \geq 0,$$

with $X_t = 0$ when $N_t = 0$. It is a Lévy process: $X_0 = 0$, and for $0 \leq s < t$, $X_t - X_s$ is the sum of $N_t - N_s \sim Poisson(\lambda(t-s))$ independent jumps. Hence $E[X_t] = \lambda t\, E[J]$ and $Var(X_t) = \lambda t\, E[J^2]$. The trajectories are piecewise constant, with a finite number of jumps on every interval: an increment is 0 with probability at least $e^{-\lambda(t-s)}$ (no shock). The process is non-decreasing when the jumps are non-negative, which is the usual case for a degradation (cumulative shock model, Kahle et al., 2016, chapter 3). With jumps equal to 1, it is the Poisson process N itself.

Exact simulation

Random walk approximation, described in DegradSim-package: with $\Delta t_i = t_i - t_{i-1}$, the increments are drawn independently, then cumulated:

1. draw the numbers of shocks $N_i \sim Poisson(\lambda \Delta t_i)$ with `stats::rpois()`;
2. draw $N_1 + \cdots + N_n$ jumps with `rjump`;
3. ΔX_i is the sum of the N_i jumps of the interval $]t_{i-1}, t_i]$ (0 if $N_i = 0$).

References

Kahle, W., Mercier, S. and Paroissin, C. (2016). *Degradation Processes in Reliability*. ISTE and Wiley, London. ISBN 978-1-84821-888-8.

Hoyle, A. E. V. (2010). *Information-Based Models for Finance and Insurance*. PhD thesis, Imperial College London. arXiv:1010.0829.

Sato, K. (2001). Basic results on Lévy processes. In O. E. Barndorff-Nielsen, T. Mikosch and S. I. Resnick (eds.), *Lévy Processes: Theory and Applications*, 3-37. Birkhäuser, Boston. doi:10.1007/9781461201977

See Also

`sim_gamma()`, `plot_traj()`, `traj_df()`, `inspection_times()`, `plot_plan()`

Examples

```
# 1. One trajectory inspected every 0.5 time unit up to 10, exponential
#    jumps of mean 1 (default)
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_cpoisson(t, lambda = 2)
x
plot_traj(x)

# 2. Ten trajectories with gamma jumps of mean 2/3
x <- sim_cpoisson(t, lambda = 2, rjump = function(n) rgamma(n, 2, 3), n_traj = 10)
plot_traj(x)

# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]

# 3. Rare and large shocks, then frequent and small shocks: same mean
x1 <- sim_cpoisson(t, lambda = 0.2, rjump = function(n) rexp(n, 0.1), n_traj = 10)
x2 <- sim_cpoisson(t, lambda = 20, rjump = function(n) rexp(n, 10), n_traj = 10)
plot_traj(x1, "Rare and large shocks")
plot_traj(x2, "Frequent and small shocks")

# 4. The Poisson process: jumps equal to 1
x <- sim_cpoisson(t, lambda = 2, rjump = function(n) rep(1, n), n_traj = 10)
plot_traj(x, "Poisson process")

# 5. Irregular inspections, more and more frequent over time
plan <- inspection_times("increasing", n = 20, n_traj = 5, tmax = 10)
x <- sim_cpoisson(plan, lambda = 2)
```

```
plot_traj(x)

# 6. Different inspection times for each trajectory: a list of data frames
x <- sim_cpoisson(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), lambda = 2)
x[[2]]
x[[2]]$X

# 7. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))

# 8. Increments over the constant step h = 1, with exponential jumps of
#    rate 1: an increment is 0 with probability exp(-lambda h) (no shock);
#    otherwise its density is sum_k P(N = k) dgamma(y, k, 1) / (1 - exp(-lambda h))
x <- sim_cpoisson(seq(0, 100, by = 1), lambda = 2, n_traj = 10)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
c(zero_observed = mean(dx == 0), zero_theory = exp(-2))
dpos <- function(y) {
  vapply(y, function(v) sum(dpois(1:30, 2) * dgamma(v, 1:30, 1)), 0) / (1 - exp(-2))
}
ggplot2::ggplot(data.frame(dx = dx[dx > 0]), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
  ggplot2::stat_function(fun = dpos, colour = "red") +
 ggplot2::labs(x = "dX > 0", y = "Density", title = "Non-zero increments, compound Poisson")
```

`sim_gamma` *Simulation of the gamma process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous gamma process (a Lévy process) or of a non-homogeneous gamma process, obtained by a time change A.

Usage

```
sim_gamma(t, a, b, A = NULL, n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted: • a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`; • a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored); • the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).
`a`	Shape parameter of the homogeneous process, $a > 0$: the increment over a time Δt has shape $a\Delta t$. Not given when `A` is given (the shape is then $A(t) - A(s)$).
`b`	Rate parameter, $b > 0$ (the scale is $1/b$).

A	NULL (default) for the homogeneous process, or the time change A of the non-homogeneous process (defined in DegradSim-package): a vectorized R function of t, for instance function(t) 2 * t^1.5.
n_traj	Number of trajectories to simulate when t is a vector (default 1), a positive integer.

Value

An object of class DegradSim, whose form depends on the inspection times:

- **same times for all the trajectories** (t a vector, or a plan of inspection_times() with the same times for all the trajectories): a matrix with columns t (inspection times), X1, ..., Xn (simulated degradation levels of the trajectories 1 to n, equal to 0 at t = 0). The levels of the k-th trajectory are x[, k + 1] or x[, "Xk"];
- **different times** (t a list, or a plan of inspection_times() with different times): a list with one data frame per trajectory, with columns t and X. The k-th trajectory is the data frame x[[k]], its times are x[[k]]$t (or x[[k]][, 1]) and its levels x[[k]]$X (or x[[k]][, 2]).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use traj_df() to gather the data in a single data frame (with the increments if needed) and plot_traj() to plot the trajectories.

Model

$\Gamma(k, b)$ denotes the gamma distribution with shape $k > 0$ and **rate** $b > 0$ (scale $1/b$), of density $b^k x^{k-1} e^{-bx}/\Gamma(k)$, $x > 0$.

Homogeneous gamma process (A = NULL, default). Let $a > 0$ and $b > 0$. The process satisfies $X_0 = 0$, has independent increments, and for $0 \leq s < t$,

$$X_t - X_s \sim \Gamma\big(a(t-s),\ b\big).$$

Then $E[X_t] = at/b$ and $Var(X_t) = at/b^2$. It is a Lévy process, increasing and purely made of jumps.

Non-homogeneous gamma process (A given). With the time change A defined in DegradSim-package, $X_t = Y_{A(t)}$, where Y is the homogeneous gamma process with $a = 1$ (identifiability, see DegradSim-package) and rate b:

$$X_t - X_s \sim \Gamma\big(A(t) - A(s),\ b\big),$$

$E[X_t] = A(t)/b$ and $Var(X_t) = A(t)/b^2$. This is the gamma process with shape function A of Kahle et al. (2016, chapter 2) and of Cha and Mercier (2019, Example 2). A classical choice is $A(t) = ct^\beta$.

Exact simulation

Random walk approximation, described in DegradSim-package: the increments $\Delta X_i \sim \Gamma(\Delta_i, b)$, with $\Delta_i = a(t_i - t_{i-1})$ or $\Delta_i = A(t_i) - A(t_{i-1})$, are drawn independently with stats::rgamma(), then cumulated.

References

Kahle, W., Mercier, S. and Paroissin, C. (2016). *Degradation Processes in Reliability*. ISTE and Wiley, London. ISBN 978-1-84821-888-8.

Cha, J. H. and Mercier, S. (2019). Transformed Lévy processes as state-dependent wear models. *Advances in Applied Probability*, 51(2), 468-486. doi:10.1017/apr.2019.21

van Noortwijk, J. M. (2009). A survey of the application of gamma processes in maintenance. *Reliability Engineering & System Safety*, 94(1), 2-21. doi:10.1016/j.ress.2007.03.019

See Also

`sim_ig()` and `sim_wiener()` for the other processes with a time change, `plot_traj()`, `traj_df()`, `inspection_times()`, `plot_plan()`

Examples

```
# 1. Homogeneous process: one trajectory inspected every 0.5 time unit
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_gamma(t, a = 2, b = 3)
x
plot_traj(x)

# 2. Ten trajectories with the same inspection times
x <- sim_gamma(t, a = 2, b = 3, n_traj = 10)
plot_traj(x)

# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]
x[, 3]

# 3. Irregular inspections, more and more frequent over time
plan <- inspection_times("increasing", n = 20, n_traj = 5, tmax = 10)
x <- sim_gamma(plan, a = 2, b = 3)
plot_traj(x)

# 4. Different inspection times for each trajectory: a list of data frames
x <- sim_gamma(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), a = 2, b = 3)
x[[2]]
x[[2]]$X
x[[2]][, 2]

# 5. Non-homogeneous process with the time change A(t) = 2 t^1.5
#    (Cha and Mercier, 2019, Example 2): X_t - X_s ~ Gamma(A(t) - A(s), b)
x <- sim_gamma(t, b = 3, A = function(t) 2 * t^1.5, n_traj = 10)
x
plot_traj(x, "Non-homogeneous gamma process")

# 6. A(t) = a t gives back the homogeneous process with shape a
set.seed(2)
y1 <- sim_gamma(t, a = 2, b = 3)
set.seed(2)
y2 <- sim_gamma(t, b = 3, A = function(t) 2 * t)
all.equal(unclass(y1)[, 2], unclass(y2)[, 2])
```

```
# 7. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))

# 8. Histogram of the increments, with the density of the increments in red.
#    Homogeneous process and constant step h = 0.5: the increments are i.i.d.
#    with distribution Gamma(a h, b) = Gamma(1, 3)
x <- sim_gamma(seq(0, 25, by = 0.5), a = 2, b = 3, n_traj = 20)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
ggplot2::ggplot(data.frame(dx), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
 ggplot2::stat_function(fun = function(y) dgamma(y, shape = 2 * 0.5, rate = 3), colour = "red") +
  ggplot2::labs(x = "dX", y = "Density", title = "Increments of the gamma process")
```

`sim_ig` *Simulation of the inverse Gaussian process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous inverse Gaussian (IG) process (a Lévy process) or of a non-homogeneous IG process, obtained by a time change A.

Usage

```
sim_ig(t, mu, eta, A = NULL, n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted: • a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`; • a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored); • the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).
`mu`	Mean degradation per unit of time of the homogeneous process, $\mu > 0$. Not given when `A` is given (the mean of X_t is then $A(t)$).
`eta`	Shape parameter, $\eta > 0$: the larger η, the less variable the increments. The variance of X_t is $\mu^3 t/\eta$ (homogeneous case) or $A(t)/\eta$ (non-homogeneous case).
`A`	`NULL` (default) for the homogeneous process, or the time change A of the non-homogeneous process (defined in DegradSim-package): a vectorized R function of `t`, for instance `function(t) 2 * t^1.5`.
`n_traj`	Number of trajectories to simulate when `t` is a vector (default 1), a positive integer.

Value

An object of class `DegradSim`, whose form depends on the inspection times:

- **same times for all the trajectories** (`t` a vector, or a plan of `inspection_times()` with the same times for all the trajectories): a matrix with columns `t` (inspection times), `X1`, ..., `Xn` (simulated degradation levels of the trajectories 1 to n, equal to 0 at `t = 0`). The levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
- **different times** (`t` a list, or a plan of `inspection_times()` with different times): a list with one data frame per trajectory, with columns `t` and `X`. The k-th trajectory is the data frame `x[[k]]`, its times are `x[[k]]$t` (or `x[[k]][, 1]`) and its levels `x[[k]]$X` (or `x[[k]][, 2]`).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use `traj_df()` to gather the data in a single data frame (with the increments if needed) and `plot_traj()` to plot the trajectories.

Model

$IG(m, \lambda)$ denotes the inverse Gaussian distribution with mean $m > 0$ and shape $\lambda > 0$, of density

$$\sqrt{\frac{\lambda}{2\pi x^3}} \exp\Big(-\frac{\lambda(x-m)^2}{2m^2 x}\Big), \qquad x > 0,$$

and variance m^3/λ.

Homogeneous IG process (`A = NULL`, default). Let $\mu > 0$ and $\eta > 0$. The process satisfies $X_0 = 0$, has independent increments, and for $0 \le s < t$,

$$X_t - X_s \sim IG\big(\mu(t-s),\ \eta(t-s)^2\big),$$

with the parametrization of Wang and Xu (2010). Then $E[X_t] = \mu t$ and $Var(X_t) = \mu^3 t/\eta$. It is a Lévy process, increasing and purely made of jumps.

Non-homogeneous IG process (`A` given). With the time change A defined in DegradSim-package, $X_t = Y_{A(t)}$, where Y is the homogeneous IG process with $\mu = 1$ (identifiability, see DegradSim-package):

$$X_t - X_s \sim IG\big(A(t) - A(s),\ \eta\,(A(t) - A(s))^2\big),$$

$E[X_t] = A(t)$ and $Var(X_t) = A(t)/\eta$. This is the non-homogeneous IG process with mean function A of Cha and Mercier (2019, Example 3), whose parameter b is η.

Exact simulation

Random walk approximation, described in DegradSim-package: the increments $\Delta X_i \sim IG(m_i, \lambda_i)$, with $m_i = \mu\Delta t_i$, $\lambda_i = \eta\Delta t_i^2$ (homogeneous case) or $m_i = \Delta A_i$, $\lambda_i = \eta\Delta A_i^2$ (non-homogeneous case), are drawn independently, then cumulated. Each increment $IG(m, \lambda)$ is drawn by the method of Michael, Schucany and Haas (1976), based on $\lambda(X-m)^2/(m^2 X) \sim \chi^2_1$: draw $Z \sim \mathcal{N}(0,1)$, set $\nu = Z^2$, $x_1 = m + m^2\nu/(2\lambda) - m\sqrt{4m\lambda\nu + m^2\nu^2}/(2\lambda)$, and return x_1 with probability $m/(m + x_1)$, otherwise m^2/x_1.

References

Cha, J. H. and Mercier, S. (2019). Transformed Lévy processes as state-dependent wear models. *Advances in Applied Probability*, 51(2), 468-486. doi:10.1017/apr.2019.21

Michael, J. R., Schucany, W. R. and Haas, R. W. (1976). Generating random variates using transformations with multiple roots. *The American Statistician*, 30(2), 88-90. doi:10.1080/00031305.1976.10479147

Wang, X. and Xu, D. (2010). An inverse Gaussian process model for degradation data. *Technometrics*, 52(2), 188-197. doi:10.1198/TECH.2009.08197

See Also

sim_gamma() and sim_wiener() for the other processes with a time change, plot_traj(), traj_df(), inspection_times(), plot_plan()

Examples

```
# 1. Homogeneous process: one trajectory inspected every 0.5 time unit
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_ig(t, mu = 0.5, eta = 2)
x
plot_traj(x)

# 2. Ten trajectories with the same inspection times
x <- sim_ig(t, mu = 0.5, eta = 2, n_traj = 10)
plot_traj(x)

# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]

# 3. Irregular inspections, less and less frequent over time
plan <- inspection_times("decreasing", n = 20, n_traj = 5, tmax = 10)
x <- sim_ig(plan, mu = 0.5, eta = 2)
plot_traj(x)

# 4. Different inspection times for each trajectory: a list of data frames
x <- sim_ig(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), mu = 0.5, eta = 2)
x[[2]]
x[[2]]$X

# 5. Non-homogeneous IG process with mean function A(t) = 0.5 t^1.5
#    (Cha and Mercier, 2019, Example 3): X_t - X_s ~ IG(dA, eta dA^2)
x <- sim_ig(t, eta = 2, A = function(t) 0.5 * t^1.5, n_traj = 10)
x
plot_traj(x, "Non-homogeneous inverse Gaussian process")

# 6. The homogeneous process (mu, eta) is A(t) = mu t with eta / mu^2
set.seed(2)
y1 <- sim_ig(t, mu = 0.5, eta = 2)
set.seed(2)
y2 <- sim_ig(t, eta = 2 / 0.5^2, A = function(t) 0.5 * t)
all.equal(unclass(y1)[, 2], unclass(y2)[, 2])

# 7. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))

# 8. Histogram of the increments, with the density of the increments in red.
#    Homogeneous process and constant step h = 0.5: the increments are i.i.d.
#    with distribution IG(m, lambda), m = mu h and lambda = eta h^2
x <- sim_ig(seq(0, 25, by = 0.5), mu = 0.5, eta = 2, n_traj = 20)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
m <- 0.5 * 0.5
```

```
lambda <- 2 * 0.5^2
dig <- function(y) sqrt(lambda / (2 * pi * y^3)) * exp(-lambda * (y - m)^2 / (2 * m^2 * y))
ggplot2::ggplot(data.frame(dx), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
  ggplot2::stat_function(fun = dig, colour = "red") +
 ggplot2::labs(x = "dX", y = "Density", title = "Increments of the inverse Gaussian process")
```

`sim_meixner` *Simulation of the Meixner process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous Meixner process, a Lévy process.

Usage

```
sim_meixner(t, a, b, d, m, n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted: • a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`; • a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored); • the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).
`a`	Scale parameter, $a > 0$.
`b`	Asymmetry parameter, $-\pi < b < \pi$: $b = 0$ gives symmetric increments, $b > 0$ increments skewed to the right.
`d`	Shape parameter per unit of time, $d > 0$.
`m`	Location parameter per unit of time, real.
`n_traj`	Number of trajectories to simulate when `t` is a vector (default 1), a positive integer.

Value

An object of class `DegradSim`, whose form depends on the inspection times:

- **same times for all the trajectories** (`t` a vector, or a plan of `inspection_times()` with the same times for all the trajectories): a matrix with columns `t` (inspection times), `X1`, ..., `Xn` (simulated degradation levels of the trajectories 1 to n, equal to 0 at `t = 0`). The levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
- **different times** (`t` a list, or a plan of `inspection_times()` with different times): a list with one data frame per trajectory, with columns `t` and `X`. The k-th trajectory is the data frame `x[[k]]`, its times are `x[[k]]$t` (or `x[[k]][, 1]`) and its levels `x[[k]]$X` (or `x[[k]][, 2]`).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use `traj_df()` to gather the data in a single data frame (with the increments if needed) and `plot_traj()` to plot the trajectories.

Model

The $Meixner(a, b, d, m)$ distribution, with $a > 0$, $b \in]-\pi, \pi[$, $d > 0$ and m real, has density

$$f(x) = \frac{(2\cos(b/2))^{2d}}{2a\pi\,\Gamma(2d)} \exp\Big(\frac{b(x-m)}{a}\Big)\Big|\Gamma\Big(d + i\frac{x-m}{a}\Big)\Big|^2, \qquad x \in \mathbb{R}.$$

It is infinitely divisible: the sum of independent $Meixner(a, b, d_1, m_1)$ and $Meixner(a, b, d_2, m_2)$ variables has the $Meixner(a, b, d_1 + d_2, m_1 + m_2)$ distribution.

The Meixner process satisfies $X_0 = 0$, has independent increments, and for $0 \le s < t$,

$$X_t - X_s \sim Meixner\big(a, b, d(t-s), m(t-s)\big).$$

Hence $E[X_t] = (m + ad\tan(b/2))\,t$ and $Var(X_t) = a^2 d\,t/(2\cos^2(b/2))$. It is a Lévy process whose trajectories are not monotone, purely made of jumps, of infinite variation: a is a scale parameter, b sets the asymmetry, d the shape and m the location.

Exact simulation

Random walk approximation, described in DegradSim-package: with $\Delta t_i = t_i - t_{i-1}$, the increments

$$\Delta X_i \sim Meixner(a, b, d\Delta t_i, m\Delta t_i)$$

are drawn independently, then cumulated. There is no Meixner generator in `stats`: each increment is drawn by numerical inversion of its distribution function (method PINV of the package `Runuran`, built from the exact density, with an error in u of order 10^{-10}). One generator is built for each distinct time step Δt_i and reused for all the trajectories. The simulation is therefore exact up to this numerical error.

References

Schoutens, W. (2003). *Lévy Processes in Finance: Pricing Financial Derivatives*. Wiley, Chichester. ISBN 978-0-470-85156-2.

Schoutens, W. and Teugels, J. L. (1998). Lévy processes, polynomials and martingales. *Communications in Statistics. Stochastic Models*, 14(1-2), 335-349.

Hörmann, W. and Leydold, J. (2003). Continuous random variate generation by fast numerical inversion. *ACM Transactions on Modeling and Computer Simulation*, 13(4), 347-362. doi:10.1145/945511.945517

See Also

`plot_traj()`, `traj_df()`, `inspection_times()`, `plot_plan()`

Examples

```
# 1. One trajectory inspected every 0.5 time unit up to 10
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_meixner(t, a = 1, b = 0.3, d = 1.5, m = 0.2)
x
plot_traj(x)

# 2. Ten trajectories with the same inspection times
x <- sim_meixner(t, a = 1, b = 0.3, d = 1.5, m = 0.2, n_traj = 10)
plot_traj(x)
```

```
# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]

# 3. Irregular inspections, frequent in the middle of the period
plan <- inspection_times("inc-dec", n = 20, n_traj = 5, tmax = 10)
x <- sim_meixner(plan, a = 1, b = 0.3, d = 1.5, m = 0.2)
plot_traj(x)

# 4. Different inspection times for each trajectory: a list of data frames
x <- sim_meixner(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), a = 1, b = 0.3, d = 1.5, m = 0.2)
x[[2]]
x[[2]]$X

# 5. Symmetric increments (b = 0) and no drift (m = 0)
x <- sim_meixner(t, a = 1, b = 0, d = 1.5, m = 0, n_traj = 10)
plot_traj(x, "Symmetric Meixner process")

# 6. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))

# 7. Histogram of the increments, with the density of the increments in red.
#    Homogeneous process and constant step h = 1: the increments are i.i.d.
#    with distribution Meixner(a, b, d h, m h), density from Runuran::ud()
x <- sim_meixner(seq(0, 50, by = 1), a = 1, b = 0.3, d = 1.5, m = 0.2, n_traj = 20)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
law <- Runuran::udmeixner(alpha = 1, beta = 0.3, delta = 1.5, mu = 0.2)
ggplot2::ggplot(data.frame(dx), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
  ggplot2::stat_function(fun = function(y) Runuran::ud(law, y), colour = "red") +
  ggplot2::labs(x = "dX", y = "Density", title = "Increments of the Meixner process")
```

`sim_nig` *Simulation of the normal inverse Gaussian process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous normal inverse Gaussian (NIG) process, a Lévy process.

Usage

```
sim_nig(t, alpha, beta, delta, mu, n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted:

- a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`;
- a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored);
- the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).

`alpha` Tail parameter, $\alpha > 0$: the larger α, the lighter the tails.

`beta` Asymmetry parameter, $|\beta| < \alpha$: $\beta = 0$ gives symmetric increments, $\beta > 0$ increments skewed to the right.

`delta` Scale parameter per unit of time, $\delta > 0$.

`mu` Location parameter per unit of time, real.

`n_traj` Number of trajectories to simulate when `t` is a vector (default 1), a positive integer.

Value

An object of class `DegradSim`, whose form depends on the inspection times:

- **same times for all the trajectories** (`t` a vector, or a plan of `inspection_times()` with the same times for all the trajectories): a matrix with columns `t` (inspection times), `X1`, ..., `Xn` (simulated degradation levels of the trajectories 1 to n, equal to 0 at `t = 0`). The levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
- **different times** (`t` a list, or a plan of `inspection_times()` with different times): a list with one data frame per trajectory, with columns `t` and `X`. The k-th trajectory is the data frame `x[[k]]`, its times are `x[[k]]$t` (or `x[[k]][, 1]`) and its levels `x[[k]]$X` (or `x[[k]][, 2]`).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use `traj_df()` to gather the data in a single data frame (with the increments if needed) and `plot_traj()` to plot the trajectories.

Model

The $NIG(\alpha, \beta, \delta, \mu)$ distribution, with $0 \le |\beta| < \alpha$, $\delta > 0$ and μ real, has density

$$f(x) = \frac{\alpha\delta\, K_1\big(\alpha\sqrt{\delta^2 + (x-\mu)^2}\big)}{\pi\sqrt{\delta^2 + (x-\mu)^2}} \exp\big(\delta\gamma + \beta(x-\mu)\big), \qquad x \in \mathbb{R},$$

where $\gamma = \sqrt{\alpha^2 - \beta^2}$ and K_1 is the modified Bessel function of the second kind (Barndorff-Nielsen, 1997). It is infinitely divisible: the sum of independent $NIG(\alpha, \beta, \delta_1, \mu_1)$ and $NIG(\alpha, \beta, \delta_2, \mu_2)$ variables has the $NIG(\alpha, \beta, \delta_1 + \delta_2, \mu_1 + \mu_2)$ distribution.

The NIG process satisfies $X_0 = 0$, has independent increments, and for $0 \le s < t$,

$$X_t - X_s \sim NIG\big(\alpha, \beta, \delta(t-s), \mu(t-s)\big).$$

Hence $E[X_t] = (\mu + \delta\beta/\gamma)\, t$ and $Var(X_t) = \delta\alpha^2 t/\gamma^3$. It is a Lévy process whose trajectories are not monotone, purely made of jumps, of infinite variation: α sets the tails, β the asymmetry, δ the scale and μ the location. It is a subordinated Brownian motion (Hoyle, 2010, section 2.10): $X_t = \mu t + \beta Z_t + W_{Z_t}$, where W is a standard Brownian motion and Z an independent inverse Gaussian process with $Z_t - Z_s \sim IG(\delta(t-s)/\gamma, \delta^2(t-s)^2)$ (mean, shape), as the variance-gamma process is a Brownian motion subordinated by a gamma process.

Exact simulation

Random walk approximation, described in DegradSim-package: with $\Delta t_i = t_i - t_{i-1}$, each increment is drawn by subordination, then the increments are cumulated:

1. draw $\Delta Z_i \sim IG(\delta \Delta t_i/\gamma, (\delta \Delta t_i)^2)$ (mean, shape) by the method of Michael, Schucany and Haas (1976), as in `sim_ig()`;
2. $\Delta X_i = \mu \Delta t_i + \beta \Delta Z_i + \sqrt{\Delta Z_i}\, \xi_i$, with ξ_i independent $\mathcal{N}(0,1)$.

Conditionally on ΔZ_i, the increment is $\mathcal{N}(\mu \Delta t_i + \beta \Delta Z_i, \Delta Z_i)$, and its mixture over the IG distribution of ΔZ_i is the $NIG(\alpha, \beta, \delta \Delta t_i, \mu \Delta t_i)$ distribution.

References

Barndorff-Nielsen, O. E. (1997). Normal inverse Gaussian distributions and stochastic volatility modelling. *Scandinavian Journal of Statistics*, 24(1), 1-13. doi:10.1111/14679469.00045

Hoyle, A. E. V. (2010). *Information-Based Models for Finance and Insurance*. PhD thesis, Imperial College London. arXiv:1010.0829.

Michael, J. R., Schucany, W. R. and Haas, R. W. (1976). Generating random variates using transformations with multiple roots. *The American Statistician*, 30(2), 88-90. doi:10.1080/00031305.1976.10479147

See Also

`sim_vg()`, `plot_traj()`, `traj_df()`, `inspection_times()`, `plot_plan()`

Examples

```
# 1. One trajectory inspected every 0.5 time unit up to 10
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_nig(t, alpha = 2, beta = 0.5, delta = 1, mu = 0.2)
x
plot_traj(x)

# 2. Ten trajectories with the same inspection times
x <- sim_nig(t, alpha = 2, beta = 0.5, delta = 1, mu = 0.2, n_traj = 10)
plot_traj(x)

# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]

# 3. Irregular inspections, more and more frequent over time
plan <- inspection_times("increasing", n = 20, n_traj = 5, tmax = 10)
x <- sim_nig(plan, alpha = 2, beta = 0.5, delta = 1, mu = 0.2)
plot_traj(x)

# 4. Different inspection times for each trajectory: a list of data frames
x <- sim_nig(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), alpha = 2, beta = 0.5, delta = 1, mu = 0.2)
x[[2]]
x[[2]]$X

# 5. Heavier tails (small alpha) and symmetric increments (beta = 0)
x <- sim_nig(t, alpha = 0.5, beta = 0, delta = 1, mu = 0.2, n_traj = 10)
plot_traj(x, "NIG process with alpha = 0.5")
```

```
# 6. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))

# 7. Histogram of the increments, with the density of the increments in red.
#    Constant step h = 1: the increments are i.i.d.
#    with distribution NIG(alpha, beta, delta h, mu h)
x <- sim_nig(seq(0, 50, by = 1), alpha = 2, beta = 0.5, delta = 1, mu = 0.2, n_traj = 20)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
dnig <- function(y, alpha = 2, beta = 0.5, delta = 1, mu = 0.2) {
  gamma <- sqrt(alpha^2 - beta^2)
  q <- sqrt(delta^2 + (y - mu)^2)
  alpha * delta / (pi * q) * besselK(alpha * q, 1, expon.scaled = TRUE) *
    exp(delta * gamma + beta * (y - mu) - alpha * q)
}
ggplot2::ggplot(data.frame(dx), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
  ggplot2::stat_function(fun = dnig, colour = "red") +
  ggplot2::labs(x = "dX", y = "Density", title = "Increments of the NIG process")
```

`sim_vg` *Simulation of the variance-gamma process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous variance-gamma (VG) process, a Lévy process.

Usage

```
sim_vg(t, theta, sigma, nu, method = "subordination", n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted: • a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`; • a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored); • the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).
`theta`	Drift of the subordinated Brownian motion, real: mean degradation per unit of time.
`sigma`	Diffusion coefficient of the subordinated Brownian motion, $\sigma > 0$ (standard deviation, not variance).
`nu`	Variance rate of the gamma clock, $\nu > 0$: the larger ν, the larger the jumps; as $\nu \to 0$ the process becomes a Wiener process.

`method`	Simulation algorithm: `"subordination"` (default) or `"difference"` (difference of two gamma processes). Both are exact and give the same distribution; see the section on the exact simulation.
`n_traj`	Number of trajectories to simulate when `t` is a vector (default 1), a positive integer.

Value

An object of class `DegradSim`, whose form depends on the inspection times:

- **same times for all the trajectories** (`t` a vector, or a plan of `inspection_times()` with the same times for all the trajectories): a matrix with columns `t` (inspection times), `X1`, ..., `Xn` (simulated degradation levels of the trajectories 1 to n, equal to 0 at `t = 0`). The levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
- **different times** (`t` a list, or a plan of `inspection_times()` with different times): a list with one data frame per trajectory, with columns `t` and `X`. The k-th trajectory is the data frame `x[[k]]`, its times are `x[[k]]$t` (or `x[[k]][, 1]`) and its levels `x[[k]]$X` (or `x[[k]][, 2]`).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use `traj_df()` to gather the data in a single data frame (with the increments if needed) and `plot_traj()` to plot the trajectories.

Model

Let θ be real, $\sigma > 0$ and $\nu > 0$. Let G be a gamma process with $G_t - G_s \sim \Gamma((t-s)/\nu, \text{rate } 1/\nu)$, so that $E[G_t] = t$ and $Var(G_t) = \nu t$, and B an independent standard Brownian motion. The VG process is the Brownian motion with drift evaluated at the random clock G:

$$X_t = \theta G_t + \sigma B_{G_t}, \qquad t \geq 0.$$

It is a Lévy process: $X_0 = 0$, its increments are independent and stationary, $E[X_t] = \theta t$ and $Var(X_t) = (\sigma^2 + \theta^2\nu)\, t$. The trajectories are not monotone, purely made of jumps, of finite variation. As $\nu \to 0$, the VG process tends to the Wiener process $\theta t + \sigma B_t$.

Exact simulation

Random walk approximation, described in DegradSim-package: each increment, over a time $\Delta t_i = t_i - t_{i-1}$, is drawn by one of two exact methods (argument `method`), which give the same distribution, then the increments are cumulated.

Method 1, subordination (`method = "subordination"`, default). Conditionally on the clock increment ΔG, $X_t - X_s \sim \mathcal{N}(\theta\Delta G, \sigma^2\Delta G)$:

1. draw independently $\Delta G_i \sim \Gamma(\Delta t_i/\nu)$ with scale ν;
2. $\Delta X_i = \theta\Delta G_i + \sigma\sqrt{\Delta G_i}\, Z_i$, with Z_i independent $\mathcal{N}(0,1)$.

This method follows the definition of the process and also gives the random clock G.

Method 2, difference of two gamma processes (`method = "difference"`). Let

$$\mu_\pm = \frac{1}{2}\sqrt{\theta^2 + \frac{2\sigma^2}{\nu}} \pm \frac{\theta}{2} > 0,$$

and G_+, G_- two independent gamma processes with shapes t/ν and scales $\nu\mu_\pm$. Then X has the same distribution as $G_+ - G_-$: since $\mu_+ - \mu_- = \theta$ and $\nu^2\mu_+\mu_- = \sigma^2\nu/2$, the characteristic function of $\Delta G_+ - \Delta G_-$ over a time Δt is

$$(1 - iu\nu\mu_+)^{-\Delta t/\nu}(1 + iu\nu\mu_-)^{-\Delta t/\nu} = \left(1 - iu\theta\nu + \sigma^2\nu u^2/2\right)^{-\Delta t/\nu},$$

which is the characteristic function of the VG increment (Madan et al., 1998).

1. Draw independently $\Delta G_i^+ \sim \Gamma(\Delta t_i/\nu)$ with scale $\nu\mu_+$ and $\Delta G_i^- \sim \Gamma(\Delta t_i/\nu)$ with scale $\nu\mu_-$;
2. $\Delta X_i = \Delta G_i^+ - \Delta G_i^-$.

This method only uses gamma draws.

References

Madan, D. B., Carr, P. P. and Chang, E. C. (1998). The variance gamma process and option pricing. *European Finance Review*, 2(1), 79-105. doi:10.1023/A:1009703431535

See Also

plot_traj(), traj_df(), inspection_times(), plot_plan()

Examples

```
# 1. One trajectory inspected every 0.5 time unit up to 10
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_vg(t, theta = 0.5, sigma = 1.2, nu = 0.8)
x
plot_traj(x)

# 2. Ten trajectories, simulated by subordination (default)
x <- sim_vg(t, theta = 0.5, sigma = 1.2, nu = 0.8, n_traj = 10)
plot_traj(x)

# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]

# 3. The same model simulated as a difference of two gamma processes
y <- sim_vg(t, theta = 0.5, sigma = 1.2, nu = 0.8, method = "difference", n_traj = 10)
plot_traj(y, "Variance-gamma process, difference of two gamma processes")

# 4. Irregular inspections, more and more frequent over time
plan <- inspection_times("increasing", n = 20, n_traj = 5, tmax = 10)
x <- sim_vg(plan, theta = 0.5, sigma = 1.2, nu = 0.8)
plot_traj(x)

# 5. Different inspection times for each trajectory: a list of data frames
x <- sim_vg(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), theta = 0.5, sigma = 1.2, nu = 0.8)
x[[2]]
x[[2]]$X

# 6. Small nu: the trajectories look like those of a Wiener process
x <- sim_vg(t, theta = 0.5, sigma = 1.2, nu = 0.01, n_traj = 10)
plot_traj(x, "Variance-gamma process with nu = 0.01")

# 7. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))
```

```
# 8. Histogram of the increments, with the density of the increments in red.
#    Homogeneous process and constant step h = 1: the increments are i.i.d.
#    with the VG density of Madan et al. (1998), written with besselK()
x <- sim_vg(seq(0, 50, by = 1), theta = 0.5, sigma = 1.2, nu = 0.8, n_traj = 20)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
dvg <- function(y, h = 1, theta = 0.5, sigma = 1.2, nu = 0.8) {
  r <- sqrt(theta^2 + 2 * sigma^2 / nu)
  z <- abs(y) * r / sigma^2
  2 / (nu^(h / nu) * sqrt(2 * pi) * sigma * gamma(h / nu)) * (abs(y) / r)^(h / nu - 0.5) *
    besselK(z, h / nu - 0.5, expon.scaled = TRUE) * exp(theta * y / sigma^2 - z)
}
ggplot2::ggplot(data.frame(dx), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
  ggplot2::stat_function(fun = dvg, colour = "red") +
 ggplot2::labs(x = "dX", y = "Density", title = "Increments of the variance-gamma process")
```

`sim_wiener` *Simulation of the Wiener process*

Description

Simulates exactly, at given inspection times, one or several trajectories of a homogeneous Wiener process with drift (a Lévy process) or of a time-scaled Wiener process, obtained by a time change A.

Usage

```
sim_wiener(t, mu, sigma, A = NULL, n_traj = 1)
```

Arguments

`t`	Inspection times. The times of each trajectory must start at 0 and be strictly increasing. Three forms are accepted: • a numeric vector, for instance `seq(0, 10, by = 0.5)`: all the trajectories share these times, and their number is `n_traj`; • a list of vectors, one per trajectory, for instance `list(c(0, 1, 3), c(0, 2, 4, 6))`: each trajectory has its own times (`n_traj` is then ignored); • the data frame returned by `inspection_times()`, which gives one plan per trajectory (`n_traj` is then ignored).
`mu`	Drift of the homogeneous process, real: mean degradation per unit of time. Not given when `A` is given (the mean of X_t is then $A(t)$).
`sigma`	Diffusion coefficient, $\sigma > 0$: standard deviation (not variance) of $X_t - X_s$ for $t - s = 1$ (homogeneous case) or $A(t) - A(s) = 1$ (time-scaled case).
`A`	`NULL` (default) for the homogeneous process, or the time change A of the non-homogeneous process (defined in DegradSim-package): a vectorized R function of `t`, for instance `function(t) 2 * t^1.5`.
`n_traj`	Number of trajectories to simulate when `t` is a vector (default 1), a positive integer.

Value

An object of class `DegradSim`, whose form depends on the inspection times:

- **same times for all the trajectories** (`t` a vector, or a plan of `inspection_times()` with the same times for all the trajectories): a matrix with columns `t` (inspection times), `X1`, ..., `Xn` (simulated degradation levels of the trajectories 1 to n, equal to 0 at `t = 0`). The levels of the k-th trajectory are `x[, k + 1]` or `x[, "Xk"]`;
- **different times** (`t` a list, or a plan of `inspection_times()` with different times): a list with one data frame per trajectory, with columns `t` and `X`. The k-th trajectory is the data frame `x[[k]]`, its times are `x[[k]]$t` (or `x[[k]][, 1]`) and its levels `x[[k]]$X` (or `x[[k]][, 2]`).

The model, the parameters and, for a non-homogeneous process, the time change are stored as attributes. Printing the object shows them with the first simulated values. Use `traj_df()` to gather the data in a single data frame (with the increments if needed) and `plot_traj()` to plot the trajectories.

Model

B denotes a standard Brownian motion and $\mathcal{N}(m, v)$ the normal distribution with mean m and variance v.

Homogeneous Wiener process (`A = NULL`, default). Let μ be real and $\sigma > 0$. The process is

$$X_t = \mu t + \sigma B_t, \qquad t \geq 0,$$

where μ is the drift parameter (expected to be positive for a degradation) and σ^2 the variance (or volatility) parameter. It has independent increments $X_t - X_s \sim \mathcal{N}(\mu(t-s), \sigma^2(t-s))$, $E[X_t] = \mu t$ and $Var(X_t) = \sigma^2 t$. It is a Lévy process with continuous, non-monotone trajectories.

Time-scaled Wiener process (`A` given). With the time change A defined in DegradSim-package,

$$X_t = A(t) + \sigma B_{A(t)}, \qquad t \geq 0,$$

that is $X_t = Y_{A(t)}$ with $Y_u = u + \sigma B_u$: the drift is set to $\mu = 1$ (identifiability, see DegradSim-package), as in Cha and Mercier (2019, Example 1). Its increments are independent, $X_t - X_s \sim \mathcal{N}(A(t) - A(s), \sigma^2(A(t) - A(s)))$, $E[X_t] = A(t)$ and $Var(X_t) = \sigma^2 A(t)$.

Exact simulation

Random walk approximation, described in DegradSim-package (Kahle et al., 2016, algorithm 1.7): the increments $\Delta X_i = \mu \Delta t_i + \sigma\sqrt{\Delta t_i}\, Z_i$ or $\Delta X_i = \Delta A_i + \sigma\sqrt{\Delta A_i}\, Z_i$, with Z_i independent $\mathcal{N}(0, 1)$ drawn with `stats::rnorm()`, are cumulated.

References

Kahle, W., Mercier, S. and Paroissin, C. (2016). *Degradation Processes in Reliability*. ISTE and Wiley, London. ISBN 978-1-84821-888-8.

Cha, J. H. and Mercier, S. (2019). Transformed Lévy processes as state-dependent wear models. *Advances in Applied Probability*, 51(2), 468-486. doi:10.1017/apr.2019.21

Whitmore, G. A. (1995). Estimating degradation by a Wiener diffusion process subject to measurement error. *Lifetime Data Analysis*, 1, 307-319.

See Also

`sim_gamma()` and `sim_ig()` for the other processes with a time change, `plot_traj()`, `traj_df()`, `inspection_times()`, `plot_plan()`

Examples

```
# 1. Homogeneous process: one trajectory inspected every 0.5 time unit
t <- seq(0, 10, by = 0.5)
set.seed(1)
x <- sim_wiener(t, mu = 0.5, sigma = 1.5)
x
plot_traj(x)

# 2. Ten trajectories with the same inspection times
x <- sim_wiener(t, mu = 0.5, sigma = 1.5, n_traj = 10)
plot_traj(x)

# Same times for all the trajectories: a matrix with the column t,
# then one column per trajectory (X1, X2, ...)
head(x[, 1:4])
x[, "X2"]

# 3. Irregular inspections, frequent at the beginning and at the end
plan <- inspection_times("dec-inc", n = 20, n_traj = 5, tmax = 10)
x <- sim_wiener(plan, mu = 0.5, sigma = 1.5)
plot_traj(x)

# 4. Different inspection times for each trajectory: a list of data frames
x <- sim_wiener(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8, 10)), mu = 0.5, sigma = 1.5)
x[[2]]
x[[2]]$X

# 5. Time-scaled Wiener process X_t = A(t) + sigma B_{A(t)} with
#    A(t) = 0.5 t^1.5 (Cha and Mercier, 2019, Example 1)
x <- sim_wiener(t, sigma = 1.5, A = function(t) 0.5 * t^1.5, n_traj = 10)
x
plot_traj(x, "Time-scaled Wiener process")

# 6. The homogeneous process (mu, sigma) is A(t) = mu t with sigma / sqrt(mu)
set.seed(2)
y1 <- sim_wiener(t, mu = 0.5, sigma = 1.5)
set.seed(2)
y2 <- sim_wiener(t, sigma = 1.5 / sqrt(0.5), A = function(t) 0.5 * t)
all.equal(unclass(y1)[, 2], unclass(y2)[, 2])

# 7. All the simulated data in a single data frame, with the increments
head(traj_df(x))
head(traj_df(x, increments = TRUE))

# 8. Histogram of the increments, with the density of the increments in red.
#    Homogeneous process and constant step h = 0.5: the increments are i.i.d.
#    with distribution N(mu h, sigma^2 h)
x <- sim_wiener(seq(0, 25, by = 0.5), mu = 0.5, sigma = 1.5, n_traj = 20)
dx <- traj_df(x, increments = TRUE)$dX
dx <- dx[!is.na(dx)]
ggplot2::ggplot(data.frame(dx), ggplot2::aes(dx)) +
  ggplot2::geom_histogram(ggplot2::aes(y = ggplot2::after_stat(density)),
                          bins = 30, boundary = 0, fill = "grey80", colour = "grey40") +
 ggplot2::stat_function(fun = function(y) dnorm(y, 0.5 * 0.5, 1.5 * sqrt(0.5)), colour = "red") +
  ggplot2::labs(x = "dX", y = "Density", title = "Increments of the Wiener process")
```

traj_df *Simulated data as a data frame*

Description

Gathers the trajectories simulated by a `sim_` function into a single data frame, one row per inspection, ready to be saved, summarized or used by other functions. Optionally adds the time steps and the increments between two consecutive inspections.

Usage

```
traj_df(x, increments = FALSE)
```

Arguments

`x`	Result of a simulation function of the package, for instance `sim_gamma()`.
`increments`	`FALSE` (default) for the levels only; `TRUE` to add the columns `dt` and `dX`.

Value

A data frame with one row per inspection and the columns:

- `id`: number of the trajectory (1, 2, ...);
- `t`: inspection time;
- `X`: simulated degradation level at time `t`;
- with `increments = TRUE`, also `dt`, the time elapsed since the previous inspection, and `dX`, the increment of the level since the previous inspection (`NA` at the first inspection, `t = 0`, of each trajectory).

To work on a single trajectory, use `subset(traj_df(x), id == k)`.

See Also

`plot_traj()`

Examples

```
set.seed(1)
x <- sim_gamma(seq(0, 10, by = 1), a = 2, b = 3, n_traj = 3)
d <- traj_df(x)
head(d)

# Degradation level of each trajectory at the last inspection
d[d$t == 10, ]

# Time steps and increments between two inspections
head(traj_df(x, increments = TRUE))

# Trajectories with different inspection times
y <- sim_gamma(list(c(0, 1, 3, 6), c(0, 2, 4, 6, 8)), a = 2, b = 3)
traj_df(y, increments = TRUE)
```

```
# Save the simulated data in a csv file
f <- tempfile(fileext = ".csv")
write.csv(d, f, row.names = FALSE)
```

Index

∗ **package**
DegradSim-package, 2

DegradSim *(*DegradSim-package*)*, 2
DegradSim-package, 2, *13*, *15*, *17, 18*, *21*, *24*, *26*, *28, 29*

inspection_times, 7
inspection_times(), *2*, *4*, *10*, *12–21*, *23–29*

plot_plan, 9
plot_plan(), *4*, *7, 8*, *13*, *16*, *19*, *21*, *24*, *27*, *29*
plot_traj, 10
plot_traj(), *4*, *10*, *12, 13*, *15, 16*, *18–21*, *23, 24*, *26, 27*, *29*, *31*

sim_cpoisson, 11
sim_cpoisson(), *3*
sim_gamma, 14
sim_gamma(), *3, 4*, *7, 8*, *11*, *13*, *19*, *29*, *31*
sim_ig, 17
sim_ig(), *3, 4*, *16*, *24*, *29*
sim_meixner, 20
sim_meixner(), *3*
sim_nig, 22
sim_nig(), *3*
sim_vg, 25
sim_vg(), *3*, *24*
sim_wiener, 28
sim_wiener(), *3, 4*, *16*, *19*
stats::rgamma(), *15*
stats::rnorm(), *29*
stats::rpois(), *13*

traj_df, 31
traj_df(), *4*, *11–13*, *15, 16*, *18–21*, *23, 24*, *26, 27*, *29*